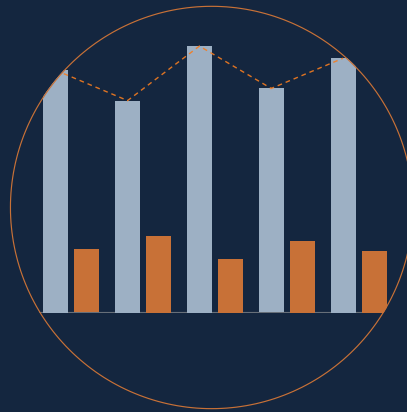




WHERE COMMITTED VALUE GOES MISSING

Committed, Not Banked.

Most transformation value is committed before anyone can prove it. Three controls decide whether it reaches the ledger.

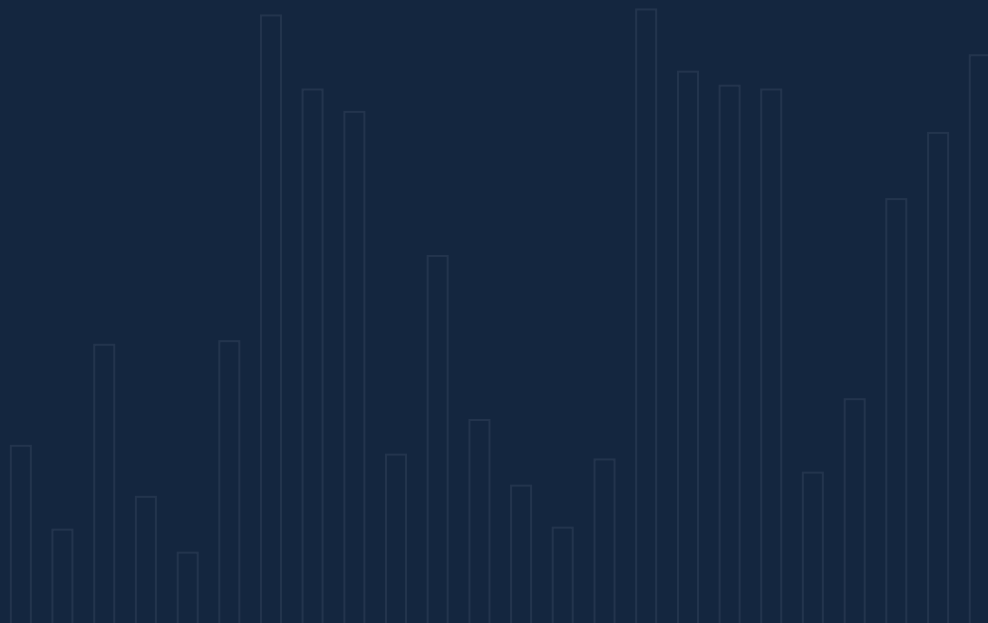
RCK MARKET REPORT | SEPTEMBER 2026

A market brief on value capture in corporate transformation and extended private equity holds. Published figures are graded; RCK's reading is labelled as a hypothesis.

Shaun Taylor · RCK Programme Methods

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Executive summary.

For CFOs, Chief Transformation Officers, private equity operating partners and audit committee chairs who must prove that change is delivering real financial value.

Fund and independently verify three controls — a frozen baseline, an evidence register reconciled to the ledger, and execution support inside the workstreams — and transformation programmes bank the value they commit.

Skip any one, and the 2026 research and RCK's own operating evidence show the same gap recur between what is committed and what reaches the ledger. Three findings, one for each control, show why.

First, the baseline control is missing. In Deloitte's survey of 500 senior leaders (fieldwork April 2026), 67% expect to meet or exceed their overall targets this year, yet only 14% fully captured the value targeted by their highest-priority initiative last year, and only 24% price leakage into the target at all. Without a frozen, CFO-signed baseline, a committed figure and a delivered one are never measured against the same yardstick.

Second, the evidence control is missing. In Alvarez & Marsal's survey of 200 European private equity investors and portfolio executives (fieldwork February 2026), 65% achieved less than half the value targeted in plans made over the past

two years, and 55% of organisations pursuing AI-enabled programmes say their own tracking technology cannot fully support them (Deloitte). Without a register that reconciles to the ledger every month, a claimed saving and a banked one look identical until an exit or an audit tells them apart.

Third, execution capacity is missing. Bain reports longer holds and less multiple expansion, so a miss now costs more. Our own operating evidence — one programme (n=1), where the client verified a \$128M in-year cost reduction (section 3) — shows that funding people to work inside the workstreams, not only report on them, is what moves a plan from forecast to ledger.

RCK's reading, not a finding of any cited study, is that these three controls are jointly necessary: closing one without the others still leaves the gap open. We call this pattern committed, not banked: value that is committed in the plan but never independently verified onto the ledger. It is a hypothesis, and section 2 states what would disprove it: if programmes that fund and independently verify all three controls show the same gap between reported and banked value as programmes that do not, on the same definitions, we are wrong. Nobody we cite has run that comparison, and neither, beyond one programme, have we.

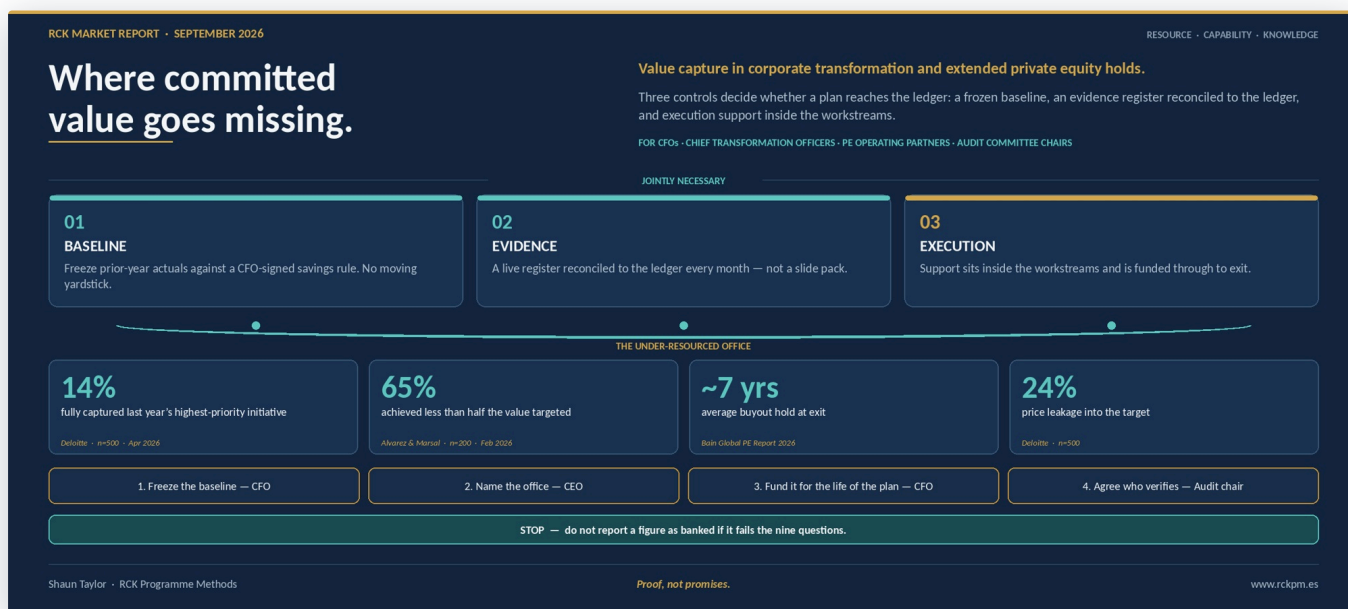


Exhibit 0. The argument in one page: the three controls, the headline research, and what we recommend.

1

SECTION 1

What the 2026 research says.

Seven sources published between 2016 and 2026 bear on the question. They use different populations and different measures, so we do not add their figures together. We read them for what they have in common. They mostly concern

cost and cash programmes; revenue and AI-productivity benefits need different evidence, and this report does not cover them.

Source	Population	Headline findings	What it tells us
Deloitte, 2026 Enterprise Cost Transformation Survey. Fieldwork April 2026; published 14 September 2026	500 C-suite and senior leaders (71% North America, 16% Europe, 13% Asia Pacific)	14% fully captured the value targeted by their highest-priority initiative last year. 67% expect to meet or exceed overall targets this year. 24% account for leakage when setting targets. 77% expect to invest \$0.20–\$0.90 per \$1 of savings targeted. 76% have made or plan to make commitments public. 55% pursuing AI-enabled programmes say their technology cannot fully support them.	Expectation runs ahead of capture. Leakage is unpriced and commitments are public.
BCG, Making Transformation Count Where It Matters, the Bottom Line, March 2025	Consulting analysis	Factors outside the programme typically reduce realised P&L savings by 10%–20%, before currency and inflation. Five actions: partner with finance, track net P&L monthly, cascade awareness, align incentives to net P&L, embed a value culture.	Gross targets overstate value. Tracking and finance partnership need standing capacity.
BCG, The C-Suite Trio That Makes or Breaks Transformation, August 2025	Consulting analysis	75% of transformations fail to meet their goals. Aligned CFO, strategy and transformation leadership makes success nearly 70% more likely. “Transformation doesn't fail in execution. It fails in alignment.”	Alignment matters most, and it needs an owner.
Bain, Private Equity Midyear Report 2026. Published 8 June 2026	Industry analysis	Implied capital cycle of about seven years. A deal that needed 5% EBITDA growth a decade ago now needs 12% for a 2.5x return over five years. Most of the return must now come from earnings growth.	Earnings have to be earned and evidenced.
Bain, Global Private Equity Report 2026. Published 23 February 2026	Industry analysis	32,000 unsold companies worth \$3.8tn (mid-2025). Nearly 40% held more than five years. Buyout holding periods at exit about seven years, against five to six in 2010–2021. IRR stagnates around year seven and declines after.	Time is the constraint.

Source	Population	Headline findings	What it tells us
Alvarez & Marsal, European PE Value Creation Survey. Fieldwork February 2026; published May 2026	Survey: 200 PE fund investors and portfolio-company C-level executives, 10 Western European countries. Exit analysis: A&M's separate dataset of European PE exits.	Survey: 65% achieved less than half the value targeted in plans made in the last two years. 63% use AI in value creation. Exit analysis: margin improvement was 51% of EBITDA growth in 2025 exits, up from 21.5% before 2023.	Plans miss, and margin work now carries the load.
McKinsey, The role of the transformation office, 2016	Practitioner article	Weekly, action-oriented meetings led by the chief transformation officer to remove roadblocks; a single source of truth for value; an office that keeps score and calls out laggards.	The office is an execution engine, not only a reporting one.

Sources: publishers' pages, accessed 28 September 2026, to be re-pulled on publication day. Where fieldwork and publication dates differ, both are shown. Figures are as published and have not been recalculated. Full references in Appendix A.

Three things the reports agree on

The plan is unproven when it is committed. Most organisations set gross targets, few price leakage, and three in four have made or plan to make their commitments public (Deloitte). BCG puts the external drag at 10%–20% of realised savings.

The means of proving it are missing. BCG asks for tracking infrastructure and a partnership with finance. 55% of organisations pursuing AI-enabled cost programmes say their technology cannot fully support them (Deloitte). McKinsey

describes an office that runs weekly sessions and holds sponsors to account. None of these is free, and none happens by itself.

Time is the constraint. With holds near seven years and multiples flat, private equity owners must earn returns from EBITDA, and margin improvement drove about half of EBITDA growth in European exits in 2025 (Alvarez & Marsal exit analysis; Bain on holds and multiples).

Section 2 turns that shared pattern into a specific reading of what is missing, and says where we could be wrong.

2

SECTION 2

Our reading: where committed value goes missing.

Value reaches the ledger only when three controls are owned, funded and independently verified: a baseline, an evidence register and execution support. “Under-resourced” does not mean that every programme needs a larger central team. It means these three controls are either unowned, episodic or allowed to disappear after mobilisation. That distinction matters: adding reporting capacity alone increases overhead; funding the three controls changes the probability that value reaches the ledger.

Other surveys report high proportions of programmes meeting or exceeding their stated targets; that is a different, easier bar than capturing the value originally committed. A target can be met after it has been re-based, extended, or offset by unrelated gains elsewhere in the portfolio. This report is about the harder bar: whether the figure signed off at the outset reaches the ledger, not whether a later, adjusted target is met.

Exhibit 1

Value reaches the ledger only when all three controls are owned: baseline, evidence and execution support.

- **Baseline and rules.** A prior-year baseline and a set of savings definitions signed by the CFO before any figure is committed.
- **Evidence.** A register that reconciles to the ledger every month and is checked by someone other than the person reporting the saving.
- **Execution support.** People who work inside the workstreams: building cases, chasing milestones, controlling spend and headcount, and clearing blockers before a review.

Decision implication. Before approving more scope, leaders should ask whether these three controls have named owners, durable funding and independent verification. If not, the programme has a governance gap before it has a delivery gap.

Thesis. Where the three controls are owned, funded and verified outside the reporting line, the gap between reported and banked value narrows.

Disproof. If programmes with all three controls in place show the same gap as programmes without them, on the same definitions, the thesis is wrong.

Evidence and where it points

Evidence and what it points at

What the research shows	What we read into it
65% of respondents achieved less than half of targeted value (Alvarez & Marsal)	No frozen baseline or evidence standard to hold the plan to.
Only 24% allow for leakage when setting targets (Deloitte)	No finance-agreed net view at the point of commitment.
55% of AI-enabled programmes say their technology falls short (Deloitte)	No system of record. Spreadsheets carry the number.
Tracking infrastructure and finance partnership (BCG)	Monthly net P&L tracking has to be built, staffed and kept.

What the research shows

Failure lies in alignment, not execution (BCG)

Weekly execution sessions with consequences (McKinsey)

RCK's reading, and a hypothesis.

What we read into it

The office makes alignment durable: one baseline, one register.

Someone has to run them and remove the roadblocks.

No cited report isolates office investment or states this in these words.

Five signs we look for

Two or more signs: treat the plan as a forecast, not as banked value. This is a field test we use, not a validated diagnostic.

1. No frozen baseline: the saving is measured against a budget that moved.
2. The register lives in a spreadsheet owned by the person reporting the result, so nobody independent can check it.
3. Savings are claimed, not ledgered: the bridge from plan to P&L is a slide.
4. The office reports but does not help deliver: late milestones appear at the board, not before it.
5. The team was sized for year one: the plan runs on in year four with nobody left to run it.

Where BCG's alignment finding fits

BCG places the failure point in alignment rather than execution, and reports that transformations with aligned CFO, strategy and transformation leaders are nearly 70% more likely to succeed. Our reading, not BCG's: alignment

decays without an owner. The office keeps one baseline and one register in front of all three leaders, month after month. Without it, alignment is an offsite, not a control.

What under-resourcing looked like in practice

In a year-end resourcing paper, the reference programme set out where its office was thin. This is one office's account of

itself (n=1, programme reporting). It illustrates the pattern; it does not prove it.

What the paper recorded

4 of 13 workstreams had a vacant transformation office post, and one had no post named.

The office had lost people to natural attrition and to exits for performance.

In the first four months on the new operating model the pipeline was flat from May to August.

Why it matters

Owners without support carry the pipeline alone.

Continuity of the office is itself a delivery risk.

Movement waited for the review calendar.

What the paper recorded	Why it matters
Initiatives at L3 or above rose from 41 of 100 in September to 98 of 166 in December.	Progress came once support was in place, but late in the year.
The paper states that the governance model was not being followed and that requests for data were often ignored or answered superficially.	Without mandated attendance the record decays.

Source: RCK programme resourcing and governance paper, year-end. Anonymised. Counts as recorded by the programme and checked against the original paper (Grade C: programme reporting).

Where we could be wrong

- Our operating evidence is one programme (n=1), and the resourcing paper is the programme's own. Treat it as an illustration to test against your own experience.
- The evidence is indirect. No study isolates office investment. Our reading joins several sources that each measure something different.
- Alignment may matter more. An office without CFO backing adds cost, not value.
- Offices can become bureaucracy. If it only reports, it is overhead. It should be judged on banked value.
- We are an interested party. RCK sells this capability. Test our claim against your own portfolio's outcomes, not against our case.

The comparison that would settle it

Nobody we cite compares programmes with and without a resourced office on the same definitions. Nor have we, beyond one programme. The test is simple to state: take programmes of similar size, apply the same baseline and savings rules to both groups, and compare banked value

with plan at 12 and 24 months. If the two groups look the same, the thesis fails. We will not claim an operating result until we hold at least three client-verified programmes on each side.

Test design only. No cell above contains data yet.

Measure	Office funded and verified	Office absent or report-only
Baseline	Prior-year actuals, normalised, CFO-signed	Same definition, applied after the fact
Savings rules	The eight rules in section 4.2	The same eight rules
Banked value as % of plan, month 12	Not yet measured	Not yet measured
Banked value as % of plan, month 24	Not yet measured	Not yet measured

Measure	Office funded and verified	Office absent or report-only
Verifier	Finance or internal audit, outside the office	The same

Section 3 shows what one live programme looked like from the inside. It is an illustration, not the test.

3

SECTION 3

What one live programme showed.

This section is one programme, seen from the operator's chair (n=1). Shaun Taylor ran it as Group Chief Transformation Officer of a multi-region telecoms group. The outcomes table is client verified (Grade B). The signals,

bridge and resourcing plan that follow are programme reporting at the time (Grade C): plans and forecasts, not outturn. Together they show that the pattern in section 2 can occur. They do not show how often it does.

Reported outcomes, client verified (Grade B)

Programme	Outcome	Basis
Cost and operational transformation, multi-region telecoms group	\$128M in-year cost reduction, about \$205M annualised run-rate.	Client verified. Outturn reconciled by external audit.
Cash improvement, same group	More than \$100M cash improvement through asset sales and leaseback.	Client verified.
Headcount and cost, same group	35% reduction in headcount and 34% reduction in annualised cost.	Client verified.
Transitional services agreement, post-merger IT integration	\$18M additional financing secured and a six-month extension.	Client verified.
ERP and shared services recovery, global software and services firm	24 operating units on a standard ERP and shared services model within 18 months.	Client verified.
Global industrial company, 50 sites in 15 countries	30% reduction in defect rates and three unified business segments.	Client verified.

Source: RCK client materials. Each outcome is client verified, with period, verifier and method on file with RCK, and cleared for anonymised use. Rounded; clients not named. These are RCK's outcomes across several engagements, not a market rate, and they are not the comparison in section 2.

Three signals in the first year

In the telecoms programme, board and flash reporting gave an unusually clear view of how a large cost programme behaves between commitment and result. Three signals

stood out in the first year, all from programme reporting at the time.

30%

of the annual savings target banked at the half-year, with monthly targets phased to rise steeply in the second half

\$36M of \$120M · programme board pack, Year 1

90%

of pipeline movement came in the run-up to major reviews, not steadily between them

Executive review, early Year 1

+1%

year to date at the November flash, with headcount ahead, spend control behind and the total hiding both

\$62.0M against \$61.3M · late-Year 1 flash report

These signals did not mean failure. They meant the plan needed active management: a pipeline that moved to the calendar of reviews, and a headline that hid the mix of

streams underneath it. Managing that was the office's job, and it is the reason we argue the office should be resourced to work, not only to report.

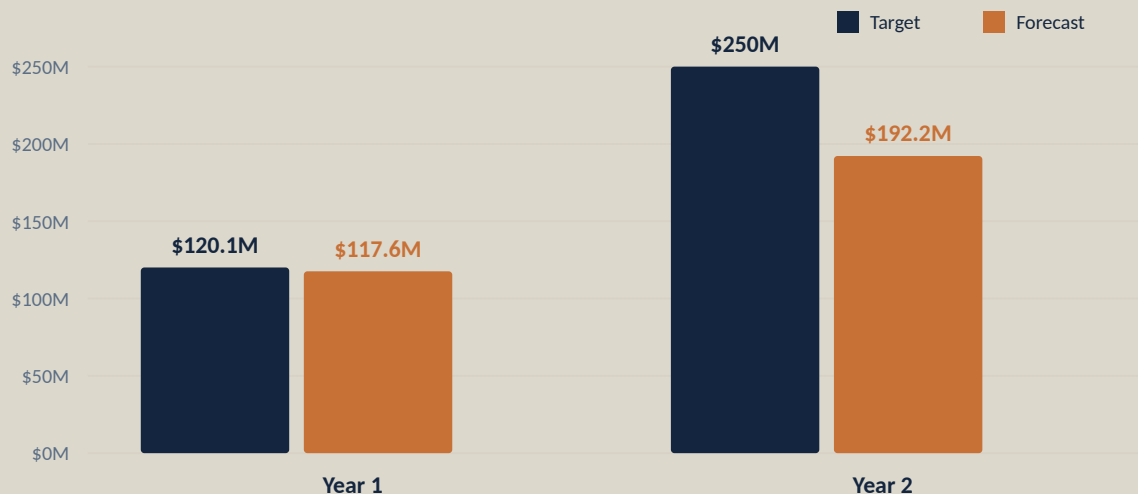
The forward-year bridge: the gap was visible in month one

By the opening month of Year 2, the programme's own bridge showed both years. The Year 1 forecast was \$117.6M against a \$120.1M target. The Year 2 forecast was \$192.2M against a \$250M target: a gap of \$57.8M, about 23% of

target, in the first month of the year. Underneath, initiatives nearly doubled from \$62.8M to \$121.4M, headcount nearly doubled from \$27.4M to \$52.6M, and spend control fell by about a third, from \$27.4M to \$18.3M.

Exhibit 2

\$57.8M of the Year 2 target was already missing in month one: forecast, not banked.



Source: RCK programme bridge, opening month of Year 2 (Grade C). Anonymised, \$M. Programme forecast, not banked.

Three points stand out. About \$36.2M of the pipeline, across 46 initiatives, was still at L0 to L2. Only \$2.1M was flagged as non-recurring, which is the kind of item that must be caught before it reaches a run-rate. And spend control fell while

headcount savings nearly doubled, a mix change no headline would have shown. Seeing this in the opening month of Year 2, not in the second half, is what a resourced record makes possible.

Where the programme missed

The programme missed in three places, and they belong here. The governance model was not followed: the year-end paper records poor attendance, and data requests ignored or answered superficially. The pipeline was flat for the first four months on the new operating model and moved only once support was in place, late in the year. And the Year 2 forecast

opened \$57.8M short of target, with spend control falling while headcount rose. The client-verified outcome was \$128M in-year and about \$205M annualised run-rate. Run-rate and in-year targets are measured differently, so we do not net one against the other or claim that the Year 2 gap closed.

What the office asked for

The same resourcing paper priced the roles the office asked for. The team was planned to grow from 11 to 17 people and then settle at 14. Restated at 2026 UK and Spain interim and consulting market rates, the planned external and dedicated

additions would run to about £1.9M to £3.0M over twelve months if resourced in the UK, or €1.5M to €2.5M in Spain: roughly 2 to 3% of the \$120M in-year target either way. That is a plan, not an outturn, and it excludes internal staff time.

Role family	Number	Duration	Rate / person / month
Finance analysts (FP&A, modelling, validation)	3	12 months	£9k-£13k / €7k-€11k
Transformation officers, embedded in workstreams	2 to 5	12 months	£15k-£22k / €12k-€19k
Programme management officer	1	12 months	£11k-£15k / €9k-€13k
HR and organisation design (target operating model)	2	6-12 months	£15k-£22k / €12k-€19k
Process improvement (black and green belts)	5 to 7	6-12 months	£9k-£17k / €7k-€14k
Change and communications lead	1	6 months	£13k-£19k / €10k-€16k

Source: RCK programme resourcing plan, close of Year 1 (Grade C), restated at September 2026 UK and Spain interim and consulting market rates rather than the original programme's own currency. UK bands follow published interim and fractional-leadership rate cards (Leadership Services; IT Jobs Watch); Spain bands follow published interim management rate cards (Manager in Motion; Robert Walters; Malt). For comparison, a full-time interim CTrO or Transformation Leader on a mandate of this complexity now commands roughly £1,800-£3,000 a day in the UK and €1,250-€2,500 a day in Spain; every embedded role here is priced under that senior benchmark. A plan, not an outturn. Excludes internal staff time. Not comparable with Deloitte's \$0.20-\$0.90 total cost to achieve per \$1 of savings (retained in USD as a third-party benchmark), which covers the whole programme.

Six practices the programme used

Practice	What it did	Why it matters
Baseline, not budget	Savings were measured over the prior year's actuals on the addressable cost base.	A budget can absorb a saving. The baseline cannot.
Top-down targets by workstream	Targets were set on the addressable base, then pushed down to owners.	Every owner had a number.
Stage gates, L0 to L5	A saving had to be shown over the baseline before an initiative passed L2. Realised value was confirmed at L5.	Claims were tested early and evidence was attached.
Structural KPIs	Span of control, layers, micro teams, expatriate and expert populations, and cost per head were compared with policy and pushed down by owner and quarter.	Targets had names and dates.

Practice	What it did	Why it matters
An office in the work	Weekly workstream meetings from planning, a late-milestone list, a spend control tower and one headcount master.	Problems were cleared before reviews, not reported at them.
Daily record, monthly flash	The pipeline was captured daily and reconciled monthly by stream against target and forecast.	Movement could be dated, traced and challenged.

Source: RCK programme materials from a multi-year period. Anonymised and restated generically. No outcome is attributed to any single practice.

Section 4 turns these practices into a playbook that any programme can start using without outside help.

4

SECTION 4

The practical playbook.

Seven moves and one test turn the research into practice. You can start all of them on Monday, with your finance partner and a spreadsheet. Each becomes harder to sustain

as programmes multiply, which is where a system of record earns its place.

4.1 Measure from the baseline

Yardstick	What it is	Use it for
Prior-year actuals (the baseline)	The addressable cost base as spent last year, normalised, agreed with Finance and frozen.	Proof that a saving happened.
Current-year budget	A plan. It can carry slack, inflation or growth.	Control, not proof.
Latest forecast	Where the year is expected to land.	Comparison with baseline and target, never in place of them.

Split the base into addressable spend that management can move within the year, and non-addressable spend that is

contractual, regulated or non-compressible. Set targets on the first. Show the second so nobody hunts for savings there.

The measurement formula

Saving = normalised baseline less actual, on the addressable base, net of counter-effects.

A raw prior-year figure is rarely a fair baseline. Normalise it through a run-rate bridge that Finance signs, then freeze it.

#	Adjustment to the prior-year base
1	Annualise the exit run-rate, for example four times the final quarter.
2	Remove one-off items.
3	Add ramp-ups already contracted.
4	Remove ramp-downs already completed.
5	Adjust for seasonality.
6	Restate at fixed exchange rates.
7	Reflect known inflation and contracted price changes.
8	Reflect scope changes such as acquisitions and disposals.
9	Record every adjustment, its author and its reason.

Attribute each saving in a separate ledger dimension for central overlays, so the ledger shows what the programme claims without disturbing the owners' own budgets. A saving reaches L5 only when it has flowed through at the full-year

run-rate for at least one month, is expected to hold, and Finance has confirmed it. Volume and mix effects are shown separately, through an assumptions template completed by the owner.

Exhibit 3. A saving is validated at L2 only once it is shown over the frozen baseline, and banked only at L5, when Finance confirms it in the ledger.

4.2 Agree eight savings rules before the first claim

Rule	What it says
1. Baseline first	Savings are measured over the frozen prior-year base.
2. Validate before L2	No initiative passes L2 until the saving is shown over the baseline.
3. In-year and run-rate	Reported separately. A part-year saving is not the annual saving.
4. Recurring or one-time	One-offs never count toward a run-rate target.
5. Saving or avoidance	Cost avoidance has its own line. It is never banked as a saving.
6. Net of counter-effects	Extra cost caused elsewhere is deducted and logged.
7. Confidence rating	High, medium or low on every forecast line, with the reason.
8. Cost to achieve	Recorded beside every benefit, from the first gate. Deloitte finds 77% of leaders expect \$0.20–\$0.90 per \$1 of savings.

The rules restate stage-gate and savings definitions used in the reference programme as a generic standard. The CFO co-signs; the office applies.

Headcount savings need their own scenarios, because each one moves cost differently:

Scenario	How it is treated
Leaver	Saving from the month after the exit, net of severance.
Attrition	Counted only if the post is closed, not refilled.
Transfer out	A saving for the unit that loses the person; a cost elsewhere if the cost moves.
Transfer in	A cost for the receiving unit, netted against the transfer out.
New role	Deducted from the saving, as a counter-effect.
Deferred joiner	Avoidance, unless the post was already in the baseline.

Report headcount savings net, on fully loaded cost, and as recurring or one-time. Contractors are tracked separately, so replacing an employee with a contractor is not shown as a saving. Severance is recorded as a percentage of fully loaded payroll cost and held against the saving.

4.3 Link the saving to next year's budget

A saving left in the budget will be spent. Five steps keep it counted once:

- 1. **Validate.** The saving is shown over the baseline. Finance signs at L2.
- 2. **Budget from the exit run-rate.** Next year's submission starts from the normalised exit run-rate, not from last year's budget.
- 3. **Overlay centrally.** Validated savings come out of the owner's envelope as a central overlay, held in a separate ledger dimension so the owner's own budget stays visible.
- 4. **Count once.** Where a budget cut and an initiative describe the same saving, one is removed from the register.
- 5. **Bank at L5.** Ledger movement is confirmed against the baseline, and the spend control tower reviews requests against the reduced envelope.

Expect owners to protect themselves. If a target is cut after a saving is found, the sensible response is to find less. Three mitigations help: allocate targets centrally across four budget submissions, not in one negotiation; use a standard

reduction and opportunity template, so the owner shows the case for each line; and leave the credit for a saving with the owner who found it.

4.4 Use structural KPIs as baseline, target and monitor

Structural KPIs show where the people cost sits before any initiative starts, and they give each target an owner.

Compare each unit with an agreed policy baseline on six measures:

Measure	What it shows
Span of control	Average direct reports per manager, against the range set for each grade.
Layers	Levels between the top of the organisation and the front line.
Micro teams	Teams below the minimum size, each a management cost carried by few people.
Expats and experts	Number and cost premium of each group against policy.
Cost per head	Average personnel cost per head, and operating revenue per head.
Policy baseline	The agreed standard each unit is compared with. Without it there is no target.

Then run five links from KPI gap to ledger movement: measure each unit against policy; set the target as a headcount or cost gap by owner and quarter; plan the move in one headcount master so exits and hires net off; time the saving from the month after the exit, not the day it is

announced; and prove it through payroll and the ledger, then measure the KPI again.

Two cautions. Report ramp-down and ramp-up together, so a saving is not celebrated while hiring undoes it. And report headcount savings as their own stream: in the reference

programme they ran ahead of target while spend control ran behind, and only the mix showed it.

As an example of design principles, set a span-of-control range for each grade and a numeric target for reducing micro

teams. The target operating model was issued as a mandatory instruction, and any variation had to be approved by the CHRO, the functional lead and the CEO. One lesson: the model belongs with HR, which owns the design, while the office tracks the KPIs and the resulting saving.

4.5 Put the office in the work

Reporting describes the work. Execution support moves it. The office needs three layers, and the Chief Transformation Officer is visible in all three: govern (register, gates, forum,

reconciliation), support execution (work inside the workstreams) and prove (evidence, with independent validation).

Exhibit 4

Governing and proving report the value. Only the middle layer, execution support, moves it.

Service	What the office does with owners
Idea generation	Runs the pipeline against structural KPIs and benchmarks, so workstreams do not run dry.
Business cases	Helps owners size, baseline and evidence each initiative to the L2 standard.
Weekly workstream meetings	From planning (L3) onwards, with the owner, the finance partner and the office together.
Milestone chasing	Late milestones are listed, owned and cleared before the monthly review.
Spend control tower	Reviews spend requests and purchase orders against the reduced envelope.
Headcount master	One master for exits, hires and vacancies. Recruitment is checked against the plan.
Escalation	Blockers get a named decision-maker and a date. The CTrO takes them to the forum.

Services restate the reference programme's operating model. McKinsey (2016) describes similar weekly sessions led by the chief transformation officer.

If you already have a PMO. The test is not whether it reports but whether it holds the baseline, reconciles the register to

the ledger each month and works inside the workstreams. If it does all three, you do not need another office; protect the one you have. If it only reports, adding people to it adds overhead.

Phase	What the office does	What the owner does
Build	Sizes the opportunity, sets the baseline and helps write the business case.	Owens the case and the number.
Execute	Chases milestones, controls spend and headcount, and updates the register.	Delivers the initiative and reports weekly.
Recover	Flags slippage early, agrees a recovery plan and takes blockers to the forum.	Delivers the recovery plan and owns the revised date.

4.6 Set a rhythm the owners can rely on

Cadence	What happens	CTrO role
Daily: the record	Register snapshot every day, so any movement can be dated and traced.	Reviews exceptions.
Weekly: the work	Workstream meetings and the late-milestone list.	Unblocks, or escalates with a date.
Monthly: the number	Owner flash, three-way reconciliation to register and ledger, forum decisions.	Presents net, banked and forecast separately.
Quarterly: the targets	Structural KPIs measured again, targets re-cut by owner, budget link updated.	Works with the CFO.

4.7 Decide who decides

An office without decision rights only reports. Set the forums and their powers before the first review:

Forum	Frequency	Decides
Board	Every two weeks	Funding, targets and escalations the steering group cannot settle.
Steering group	Every two weeks	Business cases, cross-workstream issues, change requests, gate approvals and any variation above 10% in cost or benefit.
Owner review	Weekly	Progress, slippage and recovery actions for each workstream.
Team meeting	Weekly	Milestones, blockers and data quality inside the workstream.
Operational review	Twice a month	Spend, headcount and forecast, with Finance.

Three reporting rules make the forums work. Requests from the office get a response within 48 hours. Each workstream reports its KPIs and forecast weekly. And each data owner is accountable for the quality of what they supply.

The reference programme's own year-end paper is candid on this point: the governance model had not been followed,

attendance was poor, and requests for data were often ignored or answered superficially. The forums were designed correctly and still failed for want of mandated attendance and a named owner. That is why the first decision in this report is a decision about who runs the office and what it can insist on.

4.8 Nine questions before a number goes to the board or the market

If the answer to any question is no, present the figure as a forecast, not as banked value.

#	Question
Q1	Did Finance freeze the prior-year baseline and sign the savings definitions?
Q2	Is every saving measured over that baseline, and tied to next year's budget?
Q3	Is the target net of priced leakage and counter-effects?
Q4	Is cost to achieve tracked beside the benefit?
Q5	Does every stage move carry attached evidence?
Q6	Does the register reconcile to the ledger each month?
Q7	Is realised value validated outside the office that reports it?
Q8	Can every forecast change be traced to an author and a reason?
Q9	Are structural KPI targets set by owner and quarter, and tied to the headcount plan?

You can run these nine questions without us. Take your largest programme, sit with the finance partner who owns

the ledger, and answer each one with a document, not an opinion.

Section 5 applies the playbook where the clock matters most: a private equity hold that has run long.

5

SECTION 5

Extended holds: a playbook for private equity.

Bain's advice to general partners in an extended hold is to take a hard look at each asset throughout the hold and ask whether more value remains, and what it would take to

capture it. We agree. Our reading, not Bain's: a refreshed plan with no resourced office is likely to repeat the miss.

Why the stakes rise

Pressure	What it means for the plan
Multiples do not help	With less multiple expansion, EBITDA has to be earned. Every unbanked saving is a number a buyer will test.
Margin carries the load	Margin work drove 51% of EBITDA growth in 2025 exits (Alvarez & Marsal). It is also the growth hardest to evidence and easiest to lose to leakage.
Time is the constraint	Bain finds that IRR stagnates around year seven and declines after that. A refreshed plan has a short window, so the first year of the refresh cannot be spent building tracking.

Resource the office to the phase of the hold

Stage	What the office does
Day 100: baseline	Freeze the baseline. Agree savings rules and the leakage allowance with the CFO. Stand up the register.
Years 1 to 3: deliver	Gated pipeline, monthly reconciliation, and embedded execution support where value at risk is highest.
Mid-hold: re-underwrite	Re-cut the plan against banked value. Reset structural KPI targets by owner and quarter.
Late hold: sustain	Track savings for 24 months after go-live. Watch for erosion. Keep the office funded.
Exit minus 18 months: evidence	Assemble the evidence pack: reconciled savings, one-offs split from run-rate, revision history.

Stages are RCK's proposed model. Exit-readiness timing is our suggestion; adjust it to the fund's exit plan.

A portable office: small core, embedded support

Part	Role
Fund core: method and tools	Savings rules, stage gates, structural KPI definitions and the system of record. One set of definitions for every company. Reports to the operating partner.
Company lead: execution support	Embedded in the workstreams: cases, milestones, spend and headcount control. Scaled to value at risk and months to exit.
Independent validation	The company's Finance, internal audit or an external party certifies realised value, outside the reporting line of whoever reports the saving.

Not every company needs the full office. Every company needs the record. Choose the tier by the size of the plan

against EBITDA, the gap to date, complexity and months to exit:

Tier	What it adds
Light: the record	Frozen baseline, savings rules, register and monthly reconciliation. The company finance team runs it with fund tooling.
Standard: the record plus a lead	A part-time embedded lead, weekly workstream meetings and milestone chasing.
Intensive: full execution support	Spend and headcount control, idea generation and structural KPI targets by owner and quarter.

The exit evidence pack

Give the buyer a number they can test, not a slide they must trust. Build the pack continuously from year one, because it is hard to rebuild during a sale process. We expect, but have

not tested with buyers or their advisers, that it eases financial due diligence:

- Frozen baseline and signed savings rules.
- Realised savings reconciled to the ledger.
- One-off and run-rate split, classified by Finance.
- Leakage and counter-effects, priced and logged.
- Cost to achieve, beside every benefit.
- Sustainment record and forecast revision history.

The fund view

One method turns the portfolio into a comparable view for the operating partner and the investment committee: plan against banked value by company, on the same definitions and net of leakage; the mix of initiative-led, headcount and

spend-timing savings and how much can repeat; a confidence rating on every forecast line; and months to exit, showing where the evidence pack is ready and where it is not.

Section 6 asks how to pay advisers on the same evidence.

6

SECTION 6

Paying advisers on evidence.

Every finding in this report leads to the same commercial question: who is paid for what? BCG names incentives aligned to net P&L as one of its five actions. Advisers are part of that alignment. An adviser paid for hours is paid the same

whether or not the value reaches the ledger, and the cost of rework is carried by the client. RCK bills part of its fee only on outcomes the client verifies; the terms are in the commercial annex.

The fee forces the same discipline as the playbook

An outcome fee cannot be written until the baseline, the target and the method of verification exist. That makes it a useful test of the whole approach: if a client cannot say what

the baseline is, no adviser should accept a fee that depends on it. The controls in section 4 are therefore also the terms of the fee.

Control	What must be true	Role in the fee
Frozen baseline	Prior-year actuals, signed by the CFO.	The start line. Nothing is payable without it.
Savings rules	Definitions agreed for in-year, run-rate, one-off and avoidance.	Defines what counts as an outcome.
Stage evidence	L2 and L5 evidence attached to each initiative.	Shows progress during the sprint. Not itself payable.
Realised value	Ledger movement confirmed and validated by Finance.	The trigger for the outcome fee.
Structural KPIs	Verified achievement against policy, by owner and quarter.	Can be the trigger for an outcome fee.
Sustainment	Erosion tracked after go-live.	An option we would discuss: hold part of the outcome payment until sustainment is confirmed.

The controls are generic and apply to any adviser. The sustainment hold-back is a proposal, not a standard term.

The independence problem, stated plainly

An adviser paid on outcomes has a reason to overstate them. This is the same conflict that outcome-based fees are

meant to solve for hours, and it returns in a different form. Three safeguards answer it:

- **The client verifies, not the adviser.** Finance signs the baseline and the realised value. No adviser should certify its own result.
- **The record cannot be edited after the fact.** Revisions add records, and every change carries an author and a reason. A system of record can hold this; so can a spreadsheet run with discipline, for a single programme.
- **Independent verification is available.** A third party can assess the result where the client or its lenders, auditors or buyers want it.

An outcome fee does not guarantee EBITDA, and it does not move P&L authority away from the CFO. It ties the adviser's

reward to evidence the client controls.

Fee guardrails we propose

Outcome fees can reward the wrong behaviour unless the terms are tight. We propose these guardrails and expect a

client to insist on them:

- **Exclude one-offs and avoidance.** Neither counts toward an outcome.
- **Net outcomes.** Deduct counter-effects, cost to achieve and contractor backfill.
- **Sign first.** Baseline and definitions are signed and frozen before work starts. The adviser cannot reopen them.
- **Budget the verifier.** Verification takes finance time. The reference programme sized three finance analysts for twelve months for it.
- **No fee on headcount reduction alone.** The client decides who leaves, not the adviser.
- **Optional sustainment hold-back.** Part of the outcome payment can wait until the saving has held.
- **Compare the total.** Ask any adviser for the total fee at 100%, 50% and 0% of outcome, against a time-based quote.

Other gain-share models exist. What matters is who verifies the outcome and on what baseline.

Eight questions to ask any adviser before you sign

1. Who signs the baseline, and is it prior-year actuals or budget?
2. What share of the fee depends on a verified outcome?
3. Who verifies the outcome, and are they independent of the adviser?
4. Is the outcome net of leakage and counter-effects, and is it recurring?
5. What happens in a dispute over the number?
6. Will the evidence survive an audit or a buyer's diligence?
7. Who does the execution work, and who only reports it?
8. What happens after the engagement ends: who tracks sustainment?

7

SECTION 7

What to do next.

Each reader named on the cover has a distinct decision right, so each gets its own next steps: CFOs and Chief Transformation Officers build and run the controls, audit committee chairs verify them independently, and private

equity operating partners fund them across a portfolio. The decisions on the first page of this report are the starting point. These steps put them into practice.

For CFOs and Chief Transformation Officers

1. Freeze the prior-year baseline and have the CFO sign the savings rules this quarter.
2. Run the nine questions in section 4.8 against your largest programme and reclassify any unsupported number as a forecast.
3. Name who does the execution work, who validates independently, and until when each is funded.
4. Report by stage and by stream, and show which savings can repeat.

For audit committee chairs

1. Agree with the CFO who verifies realised value each month, and confirm that person sits outside the reporting line.
2. Require the nine questions in section 4.8 answered in writing before any figure is reported as banked.
3. Put the frozen baseline and signed savings rules on the standing committee agenda, not a one-off sign-off.
4. Ask to see the exit evidence pack in section 5 before the next audit or diligence exercise, even with no sale process under way.

For private equity operating partners

1. Pick one portfolio company and run the five signs test in section 2.
2. Set the tier of office by value at risk and months to exit, and fund it to exit, not to year one.
3. Start the evidence pack now. Ask what a buyer's diligence would accept today.
4. After two quarters, compare banked value with plan, and with a similar company that had no office.

A

APPENDIX

Appendix A. Sources and method notes.

All web sources accessed and re-checked against the publishers' pages on 28 September 2026. Re-pull on publication day. Figures were read from the publishers'

pages and are quoted as published. Different studies use different populations and measures; we do not combine them into a single statistic.

Publication	Date	Address
Deloitte, 2026 Enterprise Cost Transformation Survey (press release, PR Newswire)	Fieldwork April 2026; released 14 September 2026	prnewswire.com/news-releases/organizations-are-betting-on-cost-transformation-to-fund-growth--but-few-are-capturing-the-full-value-302875992.html
BCG, Making Transformation Count Where It Matters, the Bottom Line	14 March 2025	bcg.com/publications/2025/making-corporate-transformation-count
BCG, The C-Suite Trio That Makes or Breaks Transformation	15 August 2025	bcg.com/publications/2025/c-suite-trio-that-makes-or-breaks-transformation
Bain, Private Equity Midyear Report 2026: Control the Controllable, Weather the Rest	8 June 2026	bain.com/insights/private-equity-midyear-report-2026/
Bain, Global Private Equity Report 2026 (chapter: Private Equity Outlook 2026: Gaining Traction)	23 February 2026	bain.com/insights/outlook-gaining-traction-global-private-equity-report-2026/
Alvarez & Marsal, European Private Equity Value Creation Survey 2026 (press release)	Fieldwork February 2026; released 19 May 2026	alvarezandmarsal.com/press-release/private-equity-firms-turn-to-operational-value-creation-as-geopolitical-shocks-derail-deal-recovery
McKinsey, The role of the transformation office	17 November 2016	mckinsey.com/capabilities/transformation/our-insights/the-role-of-the-transformation-office

Method notes

- RCK programme documents used include the budget guidance, savings methodology, governance and resourcing paper, and the forward-year analysis for the reference programme. They are client-confidential and are used here only in anonymised, rounded form.
- RCK programme figures are anonymised and rounded, from programme board and flash reporting and from client-verified outcomes. RCK does not name clients without written sign-off.
- Our reading, that value leakage concentrates where baseline, evidence and execution work are under-resourced, is a hypothesis. It is not a finding of any cited source, and section 2 states what would disprove it.
- Playbook content restates practices from the reference programme as a generic standard. It is not a cited benchmark and no outcome is claimed for any client that adopts it.
- The exit evidence pack is expected, not proven, to help buyer diligence.
- Evidence grades. A: publisher figure as printed, population and date known. B: client-verified outturn, with verifier, period and method on file. C: programme reporting, plan or forecast. D: RCK inference joining A to C. E: expectation not tested. The cover and section 1 use Grade A only. The executive summary uses Grade A plus one Grade B outcome, labelled n=1. Section 3 opens with a Grade B outcomes table; its signals, bridge and resourcing plan are Grade C, labelled. RCK's reading in section 2 is Grade D. The exit evidence pack benefit is Grade E.

Outcomes, not overhead.

This report was written by one person, and stands behind it as one person. What follows is who wrote it, and how RCK works with clients afterwards: a small senior practice, not a

staffing pyramid or a day-rate placement, paid mostly on the outcome it verifies rather than the hours it bills.

About the author

Shaun Taylor • Managing Partner, RCK Programme Methods

Shaun Taylor is an interim C-suite transformation leader and adviser with more than 20 years' experience across global enterprises, private equity portfolio companies and high-growth ventures. He has served in CIO, COO, CRO and Chief Transformation Officer roles, leading distressed programme recoveries, enterprise-system deployments, operating-model restructures, post-merger integrations, carve-outs and transitional services exits.

His track record includes recovering major Oracle and commercial-platform programmes, directing SAP, Oracle and cloud ERP deployments across international organisations, unifying technology functions across 31 markets, and leading complex separations and integrations. At RCK Programme Methods, he focuses on outcome-driven transformation assurance: linking operational execution to baselines, ledger evidence and value that a CFO can verify.



[Shaun Taylor on LinkedIn](#)

RCK. Proof, not promises.

50+

Engagements delivered

RCK practice record

20

Countries worked in

RCK practice record

7+

Years in operation

*RCK Programme Methods,
founded 2019*

80%

Mid-market private equity

Share of engagement base

How we work with you

Mainstream consulting sells a team; interim management sells a day rate. Both are paid whether or not the number

ever reaches your ledger. RCK is paid mostly when it does.

RCK commercial proof

60% of our fee at risk against your outcomes. 40% of the fee is billed on time spent. 60% is payable only when you have verified the outcome agreed at the start. The 60% is not payable unless you verify the agreed outcome.

How the model works

Step	Stage	What happens
1	Define and codify	Agree KPIs, baseline and targets. Capture verification methods. Define precise, measurable outcomes.
2	Execute the sprint	Expert resource deploys with a single focus. Weekly progress updates and an open milestone tracker keep the CFO and the owners on the same page. The 40% is billed on time spent.
3	Verify and measure	Results are measured against the pre-agreed baseline. Independent third-party verification is optional. The client signs off the verified outcome.
4	Payout and plan next	The 60% outcome fee is triggered. Results are captured by the client's finance team. The next high-value outcome is scoped.

Engagements run as focused sprints of about eight weeks, with a documented dispute resolution process, so a client can test the model on one outcome before committing to more.

A pilot to test it

When	What happens in a six to eight week outcome sprint
Week 0 to 1	Choose one high-value opportunity with clear, measurable KPIs. Freeze the baseline. Agree savings rules, outcome definition and verification method.
Weeks 2 to 7	Deploy alongside your team. Run weekly workstream meetings, a late-milestone list and a register reconciled to the ledger. Transfer knowledge throughout.
Week 8	Measure results against the baseline. Finance verifies. Optional independent assessment. The 60% is triggered only on the verified outcome.

For private equity, run the pilot on one portfolio company with at least two years to exit and a visible gap between plan and banked value.

About RCK

RCK Programme Methods is the transformation assurance partner for boards, CFOs and transformation leaders who must prove that change is delivering real financial value. We

measure committed value and verify it independently, every 30 days, and we report evidence a CFO can defend rather than RAG dashboards or opinion.

RCK	What it is
RCK Maturity Assessment	A structured self-assessment scored 1 to 5 across 47 attributes and 15 principles, spanning initial assessment, detailed planning, implementation, change and culture, and performance infrastructure. Output: a maturity score, the attributes dragging it down, and a 90-day reset plan sequenced governance first, behaviour second, tooling third.
RCK Value Trajectory Model	The money layer: is the investment worth more every 30 days, and can we prove it?
RCK TRANSFORM+	The delivery method that turns the plan into governed, evidenced action, including the platform clients license.
RCK PMI Execution Academy	Applied capability building for M&A leaders and PE operating partners, from diligence through Day 1, value capture and exit readiness. A one-day Integration Masterclass for senior leadership, plus a three-module practitioner pathway (cross-functional due diligence; 100-day planning and Day-1 readiness; TSA design and execution) with a capstone certification.
The CTro Dilemma Series	Thought leadership for the Chief Transformation Officer, including the RCK Outcome Circle peer forum.

Practitioner-led, with offices in Barcelona and the United Kingdom and an associate network. RCK bills 40% of its fee on time spent and 60% only on outcomes you verify.

Talk to RCK

Book a 30 minute discovery call. We will look at one programme or one portfolio company and tell you plainly whether the outcome-based approach fits.

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THANK YOU FOR READING

Proof, not promises.

RCK Programme Methods is the transformation assurance partner for boards, CFOs and transformation leaders who must prove that change is delivering real financial value.

This document sets out RCK's reading of published third-party research alongside RCK's own anonymised programme and client-verified materials. It is general information only, not accounting, financial, investment, legal, tax or other professional advice, and it is not a substitute for such advice. Before making any decision or taking any action that may affect your business, consult a qualified professional adviser.

RCK Programme Methods SL shall not be responsible for any loss sustained by any person who relies on this report. Third-party figures are quoted as published by Deloitte, BCG, Bain, Alvarez & Marsal and McKinsey; see Appendix A for sources. RCK's own reading is labelled as a hypothesis throughout and is not a finding of any cited study.

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Vision | Action | Success

We **work** in partnership
with you to **define shape** and
deliver your **transformation agenda**



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Resource · Capability · Knowledge

